

MODULE 5, CHAPTER 3: PRINCIPLES AND OCCUPATIONAL CLASSES

Core Principles of PA Insurance

- **Utmost Good Faith:** Because no medical exam is required, the entire contract rests blindly on the information provided in the application. Concealing a pre-existing medical condition or a dangerous hobby renders the policy **null and void**.
- **Insurable Interest:** If insuring another person, there must be a **pecuniary interest** (a direct financial loss if the assured gets injured or dies). This is typically limited to family members, business partners, or creditors.

Occupational Classes

- **Pricing Structure:** PA premiums are NOT priced based on age. The risk is driven entirely by what the client does for a living.
- **The 5 Classes:**
 - **Class I:** White-collar workers with indoor or travel duties (e.g., accountants, bankers, teachers).
 - **Class II:** White-collar workers with limited exposure (e.g., doctors, engineers, land surveyors).
 - **Class III:** Skilled workers with moderate exposure (e.g., mechanics, plumbers, factory workers).
 - **Class IV:** Industrial workers using heavy machinery (e.g., construction workers, firemen, truck drivers).
 - **Class V:** The special risk category (e.g., airplane crews, miners, professional athletes, explosive factory workers).

Key Takeaway: Age does not determine a Personal Accident premium—occupation does! Make sure you can perfectly map professions into the 5 Occupational Classes, as placing a client in the wrong class can void their coverage.